

drops for a week, ending 6% to 9% below the breakout before starting the return trip (on average).

Notice that when a pullback happens, performance suffers, and suffers dramatically. Once the pullback completes, the stock resumes the downtrend over 60% of the time on average.

Check for underlying support nearby—anything that might send price higher. If you short a stock and price heads back up, it may be a temporary situation caused by a pullback. Price should return to (or come close to) the breakout price before resuming its downward move. If price continues higher, close out your short position. If price continues down, consider adding to your short position or opening a new one.

Table 15.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% down	100% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L –21%, M –18%, H –15%	L –25%, M –25%, H –21%
Pullback occurrence	64%	65%
Average time to pullback bottoms	–6% in 7 days	–9% in 7 days
Average time to pullback ends	13 days	14 days
Average decline for patterns with pullbacks	–16%	–23%
Average decline for patterns without pullbacks	–20%	–27%
Percentage price resumes trend	63%	61%
Performance with breakout day gap	–16%	–23%
Performance without breakout day gap	–17%	–24%
Average gap size	\$0.42	\$0.59
Number of dual bumps	18%	21%